know and measure the developmental level of an economy and the determinants which could be considered the traits of development. The idea of developing a formula/method to measure the development was basically facing two kinds of difficulties:

(i) At one level it was difficult to define as to what constitutes development. Factors which could show development might be many such as level of income/consumption, quality of consumption, healthcare, nutrition, safe drinking water, literacy and education, social security, peaceful community life, availability of social prestige, entertainment, pollution-free environment, etc. It has been a real difficult task to achieve consensus among the experts on these determinants of the development.

(ii) At the second level it looked highly difficult to quantify a concept as development constitutes quantitative as well as qualitative aspects. It is easy to compare qualitative aspects such as beauty, taste, etc. but to measure them we don't have any measuring scale.

Human Development Index

The dilemma was solved once the United Nations Development Programme (UNDP) published its first Human Development Report (HDR) in 1990. The report had a human development index (HDI) which was the first attempt to define and measure the levels of development. The 'index' was a product of selected team of leading scholars, development practioners and members of the Human Development Report office of the UNDP. The first such team which developed the HDI was led by **Mahbub Ul Haq** and **Inge Kaul.** The term 'human development' is a corollary of 'development' in the index.

The HDI went on to select three broad parameters and allotted them an equal weightage on the scale of one and measured the development of the countries included in the report. The three parameters[4] are as given below:

(i) ***Standard of living:*** to be indicated by the real per capita income adjusted for the differing purchasing power parity (PPP).

(ii) ***Knowledge:*** to be measured by indicators related to the level of education: